



**U.S. Customs and
Border Protection**

Public Version

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Re: EAPA Consolidated Case No. 8052 – Notice of Determination as to Evasion

To the Counsel and Representatives of the above-referenced entities:

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) Consolidated Investigation 8052 (EAPA Cons. 8052), U.S. Customs and Border Protection (CBP) has determined there is substantial evidence that Lollicup USA Inc. (Lollicup), Lifeguard Gloves (also known as DuroSafe Inc.) (collectively, Lifeguard), FAV Holdings LLC (FAV Holdings), Direct Marketing USA (Direct Marketing), E Merchant Supplies (E Merchant), Quality Paper

Distributors, Inc. (Quality Paper), and Top Traders, Inc. (Top Traders) (hereinafter collectively referred to as “the Importers”) evaded antidumping (AD) duty orders A-570-920, A-428-850, A-588-880, and A-580-911 on lightweight thermal paper (thermal paper) from the People’s Republic of China (China), Germany, Japan, and/or Republic of Korea (South Korea) and countervailing duty (CVD) order C-570-921 on thermal paper from China.¹ CBP determined that there is substantial evidence that the Importers entered covered merchandise for consumption into the customs territory of the United States through evasion, by transshipping thermal paper covered by the *Orders* into the United States through Malaysia. As a result, no cash deposits were applied to the merchandise at the time of entry. The basis for CBP’s determination is explained below.

Scope of the Orders

The Germany, Japan, and South Korea AD Orders²

The scope of the Germany, Japan, and South Korea AD Orders is as follows:

The scope of the *Germany, Japan, and South Korea Orders* covers thermal paper in the form of “jumbo rolls” and certain “converted rolls.” The scope covers jumbo rolls and converted rolls of thermal paper with or without a base coat (typically made of clay, latex, and/or plastic pigments, and/or like materials) on one or both sides; with thermal active coating(s) (typically made of sensitizer, dye, and co-reactant, and/or like materials) on one or both sides; with or without a top coat (typically made of pigments, polyvinyl alcohol, and/or like materials), and without an adhesive backing. Jumbo rolls are defined as rolls with an actual width of 4.5 inches or more, an actual weight of 65 pounds or more, and an actual diameter of 20 inches or more (jumbo rolls). All jumbo rolls are included in the scope regardless of the basis weight of the paper. Also included in the scope are “converted rolls” with an actual width of less than 4.5 inches, and with an actual basis weight of 70 grams per square meter (gsm) or less.

The scope of the *Germany, Japan, and South Korea Orders* covers thermal paper that is converted into rolls with an actual width of less than 4.5 inches and with an actual basis weight of 70 gsm or less in third countries from jumbo rolls produced in the subject countries.

¹ See *Thermal Paper from Germany, Japan, the Republic of Korea, and Spain: Antidumping Duty Orders*, 86 Fed. Reg. 66284 (November 22, 2021), *Antidumping Duty Orders: Lightweight Thermal Paper from Germany and the People’s Republic of China*, 73 Fed. Reg. 70959 (November 24, 2008), and *Lightweight Thermal Paper from the People’s Republic of China: Notice of Amended Final Affirmative Countervailing Duty Determination and Notice of Countervailing Duty Order*, 73 Fed. Reg. 70958 (November 24, 2008) (collectively, the *Orders*).

² See *Thermal Paper from Germany, Japan, the Republic of Korea, and Spain: Antidumping Duty Orders*, 86 Fed. Reg. 66284 (November 22, 2021). CBP will refer to these AD orders by subject country (e.g., the *Germany Order*, the *Japan Order*, and the *South Korea Order*).

The merchandise subject to the *Germany, Japan, and South Korea Orders* may be classified in the Harmonized Tariff Schedule of the United States (HTSUS) under subheadings 4811.90.8030 and 4811.90.9030. Although HTSUS subheadings are provided for convenience and customs purposes, the written description of the scope of the *Orders* is dispositive.³

For the enforcement of the *Germany, Japan, and South Korea AD Orders*, the plain language of the scope indicates that jumbo rolls that are produced in the subject countries (*i.e.*, Germany, Japan, and South Korea) and converted into smaller thermal paper rolls in third countries, are covered by the *Germany, Japan, and South Korea AD Orders*.

The China AD/CVD Orders⁴

The scope of the *China AD/CVD Orders* is as follows (note: this Scope language incorporates the footnotes from the Department of Commerce's (DOC) original text of the *China AD/CVD Orders*):

The products covered by the *China AD/CVD Orders* include certain lightweight thermal paper, which is thermal paper with a basis weight of 70 grams per square meter (g/m²) (with a tolerance of ± 4.0 g/m²) or less; irrespective of dimensions;⁵ with or without a base coat⁶ on one or both sides; with thermal active coating(s)⁷ on one or both sides that is a mixture of the dye and the developer that react and form an image when heat is applied; with or without a top coat;⁸ and without an adhesive backing. Certain lightweight thermal paper is typically (but not exclusively) used in point-of-sale applications such as ATM receipts, credit card receipts, gas pump receipts, and retail store receipts. The merchandise subject to this order may be classified in the Harmonized Tariff Schedule of the United States (HTSUS) under subheadings 3703.10.60, 4811.59.20, 4811.90.8040, 4811.90.9090, 4820.10.20, 4823.40.00, 4811.90.8030, 4811.90.8050, 4811.90.9030, and 4811.90.9050. Although HTSUS subheadings are provided for convenience and customs purposes, the written description of the scope of the *China AD/CVD Orders* is dispositive.

³ See the *Germany Order*, the *Japan Order*, and the *South Korea Order*.

⁴ See *Antidumping Duty Orders: Lightweight Thermal Paper from Germany and the People's Republic of China*, 73 Fed. Reg. 70959 (November 24, 2008), and *Lightweight Thermal Paper from the People's Republic of China: Notice of Amended Final Affirmative Countervailing Duty Determination and Notice of Countervailing Duty Order*, 73 Fed. Reg. 70958 (November 24, 2008) (collectively, the *China AD/CVD Orders*).

⁵ LWTP is typically produced in jumbo rolls that are slit to the specifications of the converting equipment and then converted into finished slit rolls. Both jumbo and converted rolls (as well as LWTP in any other form, presentation, or dimension) are covered by the scope of these orders.

⁶ A base coat, when applied, is typically made of clay and/or latex and like materials and is intended to cover the rough surface of the paper substrate and to provide insulating value.

⁷ A thermal active coating is typically made of sensitizer, dye, and co-reactant.

⁸ A top coat, when applied, is typically made of polyvinyl acetone, polyvinyl alcohol, and/or like materials and is intended to provide environmental protection, an improved surface for press printing, and/or wear protection for the thermal print head.

On March 23, 2012, DOC issued a scope ruling for the *China AD/CVD Orders*.⁹ DOC determined that “the country of JR {jumbo rolls} production is the proper country-of-origin (COO) for LWTP {light weight thermal paper}.”¹⁰ Therefore, for the purposes of enforcing the *China AD/CVD Orders*, the country of origin of thermal paper is the country of origin/production of the jumbo thermal paper rolls.

Background

Pursuant to 19 C.F.R. § 165.2, entries covered by an EAPA investigation are “those entries of allegedly covered merchandise made within one year before the receipt of an allegation...p” “Entry” is defined as an “entry, or withdrawal from warehouse for consumption, of merchandise into the customs territory of the United States.”¹¹ CBP acknowledged receipt of 28 properly filed allegations by the Paper Receipts Converting Association (the Alleger) against the Importers on September 27, 2024.¹² Therefore, the entries covered by this investigation are those entered for consumption, or withdrawn from warehouse for consumption, from September 27, 2023, through the pendency of this investigation.¹³

On October 21, 2024, the Trade Remedy Law Enforcement Directorate (TRLED), within CBP’s Office of Trade, initiated this investigation under EAPA as a result of the allegations submitted by the Alleger concerning the evasion of AD/CVD duties by the Importers.¹⁴ In the Allegations, the Alleger asserts that the Importers evaded the *Orders* by importing thermal paper originating from either China, Germany, Japan, and/or South Korea into the United States *via* transshipment through Malaysia by failing to declare the correct COO at the time of entry.¹⁵

On January 21, 2025, CBP determined that there was reasonable suspicion that six of the seven Importers (Direct Marketing, FAV Holdings, E Merchant, Lollicup, Lifeguard, and Top Traders) entered covered merchandise into the United States through evasion by importing Chinese, German, and South Korean thermal paper transshipped through Malaysia while falsely declaring Malaysia as the COO.¹⁶ At the time of the Notice of Initiation (NOI) and Interim Measures, the

⁹ See Memo to the File, “Department of Commerce Scope Ruling for the Administrative Record,” dated January 14, 2025, at Attachment 1, citing Department of Commerce Scope Ruling, “Final Scope Ruling for Paper Resources, LLC’s Lightweight Thermal Paper Converted and Packaged in the People’s Republic of China Using Jumbo Rolls Produced in a Third Country,” dated March 23, 2012.

¹⁰ *Id.*

¹¹ See 19 U.S.C. § 1517 (a)(4); *see also* 19 C.F.R. § 165.1.

¹² See email “EAPA 8052: Receipt of EAPA Allegations,” dated September 27, 2024, receiving cases 8052-8075 and 8085-8088.

¹³ See 19 C.F.R. § 165.2.

¹⁴ CBP consolidated EAPA investigations 8052-8075 and 8085-8088 into a single investigation. See Memorandum, “Initiation of Investigation for EAPA Consolidated Case Number 8052,” dated October 21, 2024.

¹⁵ See Allegations at 1 and 4-5.

¹⁶ See CBP’s determination, “Notice of Initiation of Investigation and Interim Measures - EAPA Cons. Case 8052,” dated January 28, 2025 (*NOI and Interim Measures Determination*). This decision outlines the county of origin findings for the shipments by the Importers as of day 90 of the investigation.

record evidence showed that there was reasonable suspicion that the jumbo rolls used to produce the converted thermal paper in Malaysia actually had a COO of China, Germany, or South Korea.¹⁷ Therefore, CBP imposed interim measures pursuant to this investigation.¹⁸

Since the *NOI and Interim Measures Determination*, CBP has conducted a more thorough review of production and sales documents related to the Importers' shipments of thermal paper from Malaysia. On February 5 and 19, 2025, CBP issued RFIs to the Importers and Malaysian Suppliers SMI Paper Industry SDN BHD (SMI Paper),¹⁹ Tele-Paper (M) SDN BHD (Tele-Paper), Kooka Paper Manufacturing SDN BHD (Kooka Paper), Besto SDN BHD (Besto), Glisten Enterprise, [entity] (Supplier D), Wellden (M) SDN BHD (Wellden), and [entity] (Supplier B), pursuant to 19 C.F.R. § 165.23(a).²⁰ Importers Direct Marketing, FAV Holdings, Lifeguard, and Lollicup responded to the RFIs in a timely manner.²¹ Likewise, Malaysian Suppliers SMI Paper, Tele-Paper, Besto, and Glisten Enterprise responded in a timely manner.²² On May 27 and 28, and June 2, 2025, CBP issued supplemental RFIs (SRFI) to Importers Direct Marketing, Lollicup, and Lifeguard and Malaysian Supplier Tele-Paper.²³ All four entities submitted timely responses.²⁴ The Importers' and the Malaysian Suppliers' RFI and SRFI responses are discussed in the "Analysis" section below.

The Voluntary Factual Information deadline date was May 22, 2025,²⁵ and the Alleger submitted timely new factual information.²⁶ The Written Arguments deadline was July 21, 2025, with the

¹⁷ *Id.*

¹⁸ See 19 U.S.C. § 1517(e); see also 19 C.F.R. § 165.24.

¹⁹ SMI Paper was referred to as Supplier A and Glisten Enterprise was referred to as Supplier C in the *NOI and Interim Measures Determination*. Their names became public information when E-Merchant did not bracket its CF-28 responses for business confidentiality. See CBP email titled, "CF28's for Review Email for Bracketing - E Merchant," "E-Merchant CF-28 Bracketing Warning Email," and "E Merchant CF-28 Bracketing Second Warning," dated January 19, and February 13 and 20, 2025.

²⁰ See CBP's Letters to Direct Marketing, FAV Holdings, Lifeguard, and Lollicup, "EAPA CONS. CASE 8052 Request for Information," dated February 5, 2025, and CBP's emails titled, "Email transmitting Emerchant RFI," "Email transmitting FAV Holdings RFI," Email transmitting Lifeguard RFI," and "Email transmitting Lollicup RFI," dated February 5, 2025.

²¹ See Lifeguard, Lollicup, FAV Holdings, and Direct Marketing RFI responses, dated February 28, and March 5, 12, and 31, 2025, respectively.

²² See SMI Paper, Tele-Paper, Besto, and Glisten Enterprise's RFI Responses, dated March 5, April 2, March 20, and March 20, 2025, respectively.

²³ See CBP's Letters to Direct Marketing, Lifeguard, Lollicup, and Tele-Paper, dated May 27 and 28, 2025, and CBP's emails titled, "Direct Marketing SRFI email," "Lifeguard SRFI Request Email," "Lollicup SRFI Request Email," and "Tele-Paper SRFI Request Email," dated May 27 and 28, 2025. See also Memo to the File "Tele-Paper Supplemental Request for Information Correction for the Administrative Record," dated June 2, 2025 (Tele-Paper SRFI Correction).

²⁴ See Direct Marketing's SRFI's response, dated June 12, 2025, Lifeguard's SRFI Response, dated June 11, 2025, Lollicup's SRFI Response, dated June 20, 2025, and Tele-Paper's SRFI response, dated June 23, 2025.

²⁵ See Memo to the File "Extension of Time to Comment on Request for Information Responses and Voluntary Factual Information Deadline," dated May 9, 2025.

²⁶ See Alleger's submission titled, "Alleger Filed Rebuttal Factual Information," dated May 22, 2025 (Alleger NFI Submission).

Responses to Written Arguments due on August 5, 2025.²⁷ On July 21, 2025, the Alleger submitted Written Arguments.²⁸ None of the Importers submitted Written Arguments. Importers Lollicup and Top Traders submitted rebuttal written arguments on August 5, 2025.²⁹

Analysis

Under 19 U.S.C. § 1517(c)(1)(A), to reach a determination as to evasion, CBP must “make a determination, based on substantial evidence, with respect to whether such covered merchandise was entered into the customs territory of the United States through evasion.”³⁰ “Evasion” is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise.”³¹ The term “covered merchandise” is defined as “merchandise that is subject to a CVD order . . . and/or an AD order”³² As discussed below, substantial evidence on the record of this investigation indicates that the Importers entered merchandise covered by the *Orders* through evasion.

Responsive Importers & Their Respective Suppliers

On February 5, 2025, CBP issued RFIs to Direct Marketing, FAV Holdings, Lifeguard, and Lollicup, pursuant to 19 C.F.R. § 165.23(a).³³ Direct Marketing, FAV Holdings, Lifeguard, and Lollicup responded to the RFIs in a timely manner.³⁴ On May 27 and 28, 2025, CBP issued SRFIs to Importers Direct Marketing, Lollicup, and Lifeguard and received timely responses.³⁵

²⁷ See Memos to the File “Extension of Deadlines for Written Arguments and Responses to Written Arguments,” “Deadlines for Written Arguments and Responses to Written Arguments,” and “Written Argument Extension,” dated June 3 and 30, and July 14, 2025, respectively.

²⁸ See Alleger’s submission titled, “EAPA Cons. Case No. 8052: Thermal Paper Transshipped Through Malaysia – Written Comments,” dated July 21, 2025 (Alleger’s Written Arguments).

²⁹ See Lollicup’s submission, “Lollicup USA Incorporated’s Written Arguments Submission,” dated August 5, 2025 (Lollicup’s Rebuttal Arguments), and Top Traders’ submission, “Lightweight Thermal Paper Allegedly Transshipped through Malaysia: Top Traders Written Arguments,” dated August 5, 2025 (Top Traders’ Rebuttal Arguments).

³⁰ See also 19 C.F.R. § 165.27(a) (implementing 19 U.S.C. § 1517(c)(1)(A)).

³¹ 19 C.F.R. § 165.1.

³² *Id.*

³³ See CBP’s Letters to Direct Marketing, FAV Holdings, Lifeguard, and Lollicup, “EAPA CONS. CASE 8052 Request for Information,” dated February 5, 2025, and CBP’s emails titled, “Email transmitting Emerchant RFI,” “Email transmitting FAV Holdings RFI,” “Email transmitting Lifeguard RFI,” and “Email transmitting Lollicup RFI,” dated February 5, 2025.

³⁴ See Lifeguard, Lollicup, FAV Holdings, and Direct Marketing RFI Responses, dated February 28, and March 5, 12, and 31, 2025, respectively.

³⁵ See CBP’s Letters to Direct Marketing, Lifeguard, Lollicup, and Tele-Paper, dated May 27 and 28, 2025, CBP’s emails titled, “Direct Marketing SRFI email,” “Lifeguard SRFI Request Email,” and “Lollicup SRFI Request

Importer Direct Marketing

On February 5, 2025, CBP issued a RFI to Direct Marketing, pursuant to 19 C.F.R. § 165.23(a).³⁶ Direct Marketing responded to the RFIs in a timely manner.³⁷ On May 27, 2025, CBP issued an SRFI to Direct Marketing and received a timely response.³⁸ In its RFI responses, Direct Marketing reported that it sources thermal paper in Malaysia from Kooka Paper and [entity].³⁹ Direct Marketing explained that it had “a previous relationship with [entity],” and that through “conversations with Kooka and [entity], Direct Marketing learned the two were affiliating or forming some type of joint venture to export guest checks and register rolls to the United States.”⁴⁰ Further, Direct Marketing reported that it was “aware that some jumbo rolls {that} were being finished into the covered merchandise in Malaysia were [business practice, entity, and location].”⁴¹ These statements were further substantiated by Direct Marketing’s email correspondence to negotiate sales of thermal paper, in which representatives from Kooka Paper and [entity] were on the same email, and Direct Marketing’s profit/loss statements showing [description].⁴²

Supplier Kooka Paper

On February 5, 2025, CBP issued an RFI to Kooka Paper and did not receive a response.⁴³ Because Kooka Paper did not respond to the RFI, CBP’s ability to obtain information for its investigation was impeded significantly. Pursuant to 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, CBP may apply an adverse inference if the party to the investigation that filed an

Email,” dated May 27 and 28, 2025. *See also* Direct Marketing’s SRFI’s response, dated June 12, 2025, Lifeguard’s SRFI Response, dated June 11, 2025, and Lollicup’s SRFI Response, dated June 20, 2025.

³⁶ *See* CBP’s Letters to Direct Marketing, “EAPA CONS. CASE 8052 Request for Information,” dated February 5, 2025, and CBP’s emails titled, “Email transmitting Direct Marketing RFI,” dated February 5, 2025.

³⁷ *See* Direct Marketing RFI Response, dated March 31, 2025. *See also* CBP’s emails titled, “Direct Marketing RFI Extension,” “Direct Marketing RFI Rejections,” and “Direct Marketing Double Bracketing Request Rejection,” dated February 18, and March 12 and 27, 2025, respectively.

³⁸ *See* CBP’s Letter to Direct Marketing, dated May 27, 2025, and CBP’s emails titled, “Direct Marketing SRFI email,” dated May 27, 2025. *See also* Direct Marketing’s SRFI’s response, dated June 12, 2025.

³⁹ CBP notes that Direct Marketing did not report Malaysian company [entity] as the manufacturer at the time of entry. *See* Direct Marketing RFI Response at 14. *See also*, Memo to the File “Trade Data for the Administrative Record,” dated January 21, 2025 (Trade Data Memo) at Attachment 1, citing CBP data reflecting September 27, 2023, to January 21, 2025.

⁴⁰ *See* Direct Marketing RFI Response at 13.

⁴¹ Record evidence confirms that [entity] is linked to a company named Shenzhen Formers Paper Co. located in China. *Id.* at 9. *See also*, Memo to the File “Kooka Paper Manufacturing Sdn Bhd Supplier Information for the Administrative Record,” dated December 12, 2024 (Kooka Manufacturing Memo) at Attachment I, citing Union Packaging’s, Formers’ Paper Company, and Shenzhen Formers’ Paper Co. Ltd.’s websites.

⁴² *See* Direct Marketing RFI Response at Exhibits 10-1, 10-2, and 10-3 and Exhibit 4.

⁴³ *See* CBP’s Letters to Kooka Paper, “EAPA CONS. CASE 8052 Request for Information,” dated February 5, 2025, and CBP’s emails titled, “Email transmitting Kooka Paper RFI,” “Kooka Paper RFI Bracketing Warning,” “Kooka Paper Extension Request,” and “Kooka Paper RFI Rejection,” dated February 5, 20, and 27, and March 26, 2025.

allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP. In applying an adverse inference against an eligible party, CBP selects from the facts otherwise available on the record, as outlined in 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, to make a final determination as to evasion pursuant to in 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. § 165.27(a).⁴⁴

Because Kooka Paper did not reply to the RFI, which involved questions on its sales, production, and accounting practices, CBP finds that Kooka Paper did not cooperate nor comply with CBP's investigation to the best of its ability. Without this requested information, CBP is unable to contradict the record evidence that Kooka Paper sourced its jumbo rolls, which it converted in Malaysia, from a [[description](#)].

As such, CBP is drawing inferences adverse to the interests of Kooka Paper from facts otherwise available on the record. Specifically, CBP is relying upon Direct Marketing's admission that Kooka Paper sourced [[description](#)] jumbo rolls from [[entity](#)] to convert into smaller rolls in Malaysia and the results of an internet search conducted by CBP⁴⁵ which revealed that [[entity](#)] shared the same physical address and same corporate ownership as a Chinese thermal paper manufacturer named Shenzhen Formers Paper Co. as a potential source of jumbo rolls.⁴⁶

The scope of the *Orders* covers thermal paper that is converted in third countries from jumbo thermal rolls that were produced in the subject countries.⁴⁷ For the purposes of enforcing the *Orders*, CBP is using adverse inferences and record evidence to conclude that Malaysian supplier, Kooka Paper, sourced all its jumbo rolls from [[location](#)] during the POI to convert into smaller rolls in Malaysia, which were then imported to the United States by Direct Marketing.⁴⁸ Therefore, CBP finds there is substantial evidence that Direct Marketing is evading the *China AD/CVD Orders* by claiming that the Chinese-origin merchandise had a COO as Malaysia and

⁴⁴ See 19 C.F.R. § 165.6(a).

⁴⁵ See Direct Marketing RFI response at 9 and Memo to the File "Kooka Paper Manufacturing Sdn Bhd Supplier Information for the Administrative Record," dated December 12, 2024 (Kooka Manufacturing Memo). See, specifically, Kooka Manufacturing Memo at Attachment I, Section A, citing Union Packaging's website; Attachment I, Sections B-D, citing Formers' Paper Company retail company profiles and Shenzhen Formers Paper Co. Ltd's website; and Attachment 1, Section D, citing Shenzhen Formers paper Co. Ltd's website and promotional materials.

⁴⁶ CBP's research corroborated Direct Marketing's statements that Malaysian company [[entity](#)] is connected to Chinese company [[entity](#)]. According to CBP's research, [[entity](#)] shares an address with Union Packaging and Technology Company Limited (Union Packaging). Union Packaging's website indicates that it is a wholly owned subsidiary of Chinese company Formers Printing Company Limited. Internet research indicated that Formers Printing Company Limited and Shenzhen Formers Paper Co. are both mentioned on the same website and share a physical address with Shenzhen Formers Paper Co. Shenzhen Formers Paper Co.'s website publicizes that it produces thermal paper in China.

⁴⁷ See the *Orders*.

⁴⁸ See Direct Marketing's RFI Response.

declaring the covered merchandise as a “Type 01” entry, thereby evading the payment of the *China AD/CVD Orders* duties.

Importer FAV Holdings

On February 5, 2025, CBP issued a RFI to FAV Holdings, pursuant to 19 C.F.R. § 165.23(a).⁴⁹ FAV holdings responded to the RFIs in a timely manner.⁵⁰ In its RFI response, FAV Holdings reported that its source of thermal paper in Malaysia is Kooka Paper.⁵¹

Supplier Kooka Paper

On February 5, 2025, CBP issued a RFI to Kooka Paper and did not receive a response.⁵² Because Kooka Paper did not respond to the RFI, CBP’s ability to obtain information for its investigation was impeded significantly. Pursuant to 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP. In applying an adverse inference against an eligible party, CBP selects from the facts otherwise available on the record, as outlined in 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, to make a final determination as to evasion pursuant to in 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. § 165.27(a).⁵³

Because Kooka Paper did not reply to the RFI, CBP finds that Kooka Paper did not cooperate nor comply with CBP’s investigation to the best of its ability. Specifically, Kooka Paper failed to respond to CBP’s RFI in which CBP requested information regarding sales, production, and accounting practices. Without this requested information, CBP lacks information to contradict the record evidence that Kooka Paper sourced its jumbo rolls, which it converted in Malaysia, from a [[description](#)].

As such, CBP is drawing inferences adverse to the interests of Kooka Paper from facts otherwise available on the record and relying on record evidence, including, RFI responses linking Kooka Paper to [[entity](#)] and CBP internet research linking [[entity](#)] to a Chinese thermal paper

⁴⁹ See CBP’s Letters to FAV Holdings, “EAPA CONS. CASE 8052 Request for Information,” dated February 5, 2025, and CBP’s emails titled, “Email transmitting FAV Holdings RFI,” dated February 5, 2025.

⁵⁰ See FAV Holdings’ RFI Response, dated March 12, 2025. See also, CBP’s email titled, “Fav Holdings CF28 and RFI Bracketing,” dated February 20, 2025.

⁵¹ See FAV Holdings RFI Response at 25.

⁵² See CBP’s Letters to Kooka Paper, “EAPA CONS. CASE 8052 Request for Information,” dated February 5, 2025, and CBP’s emails titled, “Email transmitting Kooka Paper RFI,” “Kooka Paper RFI Bracketing Warning,” “Kooka Paper Extension Request,” and “Kooka Paper RFI Rejection,” dated February 5, 20, and 27, and March 26, 2025.

⁵³ See 19 C.F.R. § 165.6(a).

manufacturer named Shenzhen Formers Paper Co. *via* same physical location and shared corporate ownership.⁵⁴

The scope of the *Orders* covers thermal paper that is converted in third countries from jumbo thermal rolls that were produced in the subject countries.⁵⁵ For the purposes of enforcing the *Orders*, CBP is using adverse inferences and record evidence to conclude that Malaysian supplier, Kooka Paper, sourced all its jumbo rolls from [[location](#)] during the POI to convert into smaller rolls in Malaysia, which were then imported to the United States by Direct Marketing.⁵⁶ Therefore, CBP finds there is substantial evidence that Direct Marketing is evading the *China AD/CVD Orders* by claiming that the Chinese-origin merchandise had a COO as Malaysia and declaring the subject merchandise as a “Type 01” entry, thereby evading the payment of the *China AD/CVD Orders* duties.

Importer Lifeguard.

On February 5, 2025, CBP issued a RFI to Lifeguard, pursuant to 19 C.F.R. § 165.23(a).⁵⁷ Lifeguard responded to the RFIs in a timely manner.⁵⁸ In its RFI response, Lifeguard reported that it sourced thermal paper in Malaysia from Besto, Supplier B, and Supplier D.⁵⁹

Supplier Besto

On February 5, 2025, CBP issued a RFI to Besto and did not receive an adequate response, as described below.⁶⁰ CBP attempted multiple times to have Besto submit a RFI response that met CBP’s business confidential filing requirements, as described in 19 C.F.R. § 165.4, and warned Besto that “CBP may consider all information in the RFI responses public” if it did not contain sufficient business confidential markings.⁶¹ As such, CBP placed commercial invoices of the purchases of jumbo rolls for production, which Besto submitted in its response, on the record.⁶²

⁵⁴ See Direct Marketing RFI response at 9 and Kooka Manufacturing Memo at Attachment I, citing Union Packaging’s, Formers’ Paper Company, and Shenzhen Formers’ Paper Co. Ltd.’s websites.

⁵⁵ See the *Orders*.

⁵⁶ See Direct Marketing’s RFI Response.

⁵⁷ See CBP’s Letter to Lifeguard, “EAPA CONS. CASE 8052 Request for Information,” dated February 5, 2025, and CBP’s emails titled, “Email transmitting Lifeguard RFI,” dated February 5, 2025.

⁵⁸ See Lifeguard’s RFI Response, dated February 28, 2025. See also, CBP’s email titled, “Lifeguard -Request for Extension of RFI,” dated February 12, 2025.

⁵⁹ See Lifeguard RFI Response at 24.

⁶⁰ See CBP’s Letter to Besto, “EAPA CONS. CASE 8052 Request for Information,” dated February 5, 2025, and CBP’s emails titled, “Email transmitting Besto RFI,” dated February 5, 2025. See also, CBP’s emails titled, “Besto SDN BHD RFI Extension Request,” “Besto RFI Reject,” “Besto RFI Rejection,” “Besto RFI Rejection Clarification,” dated February 18, and March 4, 14, and 17, 2025.

⁶¹ See CBP’s emails titled, “Besto RFI Reject,” “Besto RFI Rejection,” “Besto RFI Rejection Clarification,” dated March 4, 14, and 17, 2025.

⁶² See Memo to the File, “Partial Besto Raw Material Purchases for the Administrative Record,” dated May 12, 2025. Note: CBP did not place the entirety of Besto’s RFI response on the record due to the high amount of banking and other financial information within the response, which would normally be subject to business confidential treatment.

The three unique raw material invoices provided by Besto showed that Besto purchased a total of 167.3 MT of jumbo rolls from Hansol in South Korea on January 25, 2024, February 5, 2024, and May 27, 2024.⁶³ However, CBP cannot rely on these documents as proof of a South Korea COO for the Lifeguard imports during the POI because the invoices are dated from the first half of 2024, prior to the start of the POI, and because Besto provided no reconciliation of raw material purchases to finished production to exports. Furthermore, the Alleger NFI Submission has competing evidence showing that Besto imported 507 MT of jumbo rolls from China and South Korea between May 29 and September 11, 2024,⁶⁴ just before the start of the POI. CBP finds that the Alleger NFI Submission to be more compelling because it shows the vast majority of the 507 MT of jumbo rolls were sourced from China, 95% vs. 5% for South Korea, and the period of importation was closer to the start of the POI.⁶⁵

Because Besto did not properly identify business confidentiality in its submission nor completely respond to the RFI, CBP's ability to obtain information for its investigation was impeded significantly. As a result, CBP finds that Besto did not cooperate nor comply with CBP's investigation to the best of its ability. Specifically, Besto failed to provide fulsome responses to CBP's RFI questions regarding sales, production, and accounting practices, including linking raw material purchases to finished goods produced. Without this requested information, CBP lacks information to contradict the record evidence that Besto sourced a large quantity of jumbo rolls from China just prior to the start of the POI.

As a result, CBP is applying adverse inferences to Besto pursuant to 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6. In applying an adverse inference against an eligible party, CBP selects from the facts otherwise available on the record, as outlined in 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, to make a final determination as to evasion pursuant to in 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. § 165.27(a).⁶⁶ Accordingly, CBP will rely on the other facts available, which include the commercial shipment data supplied by the Alleger indicating that Besto imported substantial quantities of thermal paper rolls from China just before the start of the POI.⁶⁷ The scope of the *Orders* covers thermal paper that is converted into rolls in third countries from jumbo thermal rolls produced in the subject countries.⁶⁸ For the purposes of enforcing the *Orders*, CBP is relying on record evidence to conclude that Malaysian supplier

⁶³ See Memo to the File, "Partial Besto Raw Material Purchases for the Administrative Record," dated May 12, 2025, and Memo to the File, "Department of Commerce Scope Ruling for the Administrative Record," dated January 14, 2025, at Attachment 1, citing Department of Commerce Scope Ruling, "Final Scope Ruling for Paper Resources, LLC's Lightweight Thermal Paper Converted and Packaged in the People's Republic of China Using Jumbo Rolls Produced in a Third Country," dated March 23, 2012.

⁶⁴ See Alleger NFI Submission at 6 and Attachment B.

⁶⁵ *Id.*

⁶⁶ See 19 C.F.R. § 165.6(a).

⁶⁷ See Alleger NFI Submission at 6 and Attachment B. Note, neither Lifeguard nor Besto refuted this information on the record.

⁶⁸ See the *Orders*.

Besto sourced all its jumbo rolls from China during the POI to convert into smaller rolls,⁶⁹ which were then imported to the United States by Lifeguard. Therefore, CBP finds there is substantial evidence that Lifeguard is evading the *China AD/CVD Orders* on its imports from Besto by claiming the COO is Malaysia and failing to pay the duties for the *China AD/CVD Orders*.

Supplier B

On February 5, 2025, CBP issued a RFI to Supplier B, pursuant to 19 C.F.R. § 165.23(a), and did not receive a response.⁷⁰ Because Supplier B did not respond to the RFI, CBP's ability to obtain information for its investigation was impeded significantly. Pursuant to 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP. In applying an adverse inference against an eligible party, CBP selects from the facts otherwise available on the record, as outlined in 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, to make a final determination as to evasion pursuant to in 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. § 165.27(a).⁷¹

Because Supplier B did not reply to the RFI, CBP finds that Supplier B did not cooperate or comply with CBP's investigation to the best of its ability. Specifically, Supplier B failed to respond to CBP's RFI in which CBP requested information regarding sales, production, and accounting practices. Without this requested information, CBP lacks information to contradict the record evidence from Supplier B's website, which advertises that Supplier B sells thermal paper from Japan.⁷² As such, CBP is drawing inferences adverse to the interests of Supplier B and finds that all its converted thermal paper was sourced from [[location](#)] jumbo rolls. The scope of the *Orders* covers thermal paper that is converted into rolls in third countries from jumbo thermal rolls produced in the subject countries.⁷³ For the purposes of enforcing the *Orders*, record evidence exists that Supplier B is sourcing Japanese-origin produced jumbo rolls to convert into smaller rolls, which are then imported into the United States.⁷⁴ Therefore, CBP finds there is substantial evidence that Lifeguard is evading the *Japan Order* for imports from Supplier B by claiming the COO is Malaysia and failing to pay the duties for the *Japan Order*.

⁶⁹ See Alleger NFI Submission at 6 and Attachment B.

⁷⁰ See CBP's Letters to Supplier B, "EAPA CONS. CASE 8052 Request for Information," dated February 5, 2025, and CBP's emails titled, "Email transmitting Supplier B RFI," and "Supplier B RFI Warning," dated February 5, and March 13, 2025. CBP used the email address for Supplier B as provided by Lifeguard in Lifeguard's RFI Response at 19.

⁷¹ See 19 C.F.R. § 165.6(a).

⁷² See Memo to the File, "Foreign Company Information for the Administrative Record," dated May 12, 2025 (Foreign Company Information Memo), at Attachment 2, citing Supplier B's website.

⁷³ See the *Orders*.

⁷⁴ See Foreign Company Information Memo, at Attachment 2, citing Supplier B's website.

Supplier D

On February 19, 2025, CBP issued an RFI to Supplier D, pursuant to 19 C.F.R. § 165.23(a), and did not receive a response.⁷⁵ Because Supplier D did not respond to the RFI, CBP's ability to obtain information for its investigation was impeded significantly. Pursuant to 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP. In applying an adverse inference against an eligible party, CBP selects from the facts otherwise available on the record, as outlined in 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, to make a final determination as to evasion pursuant to in 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. § 165.27(a)

Because Supplier D did not reply to the RFI, CBP finds that Supplier D did not cooperate or comply with CBP's investigation to the best of its ability. Specifically, Supplier D failed to respond to CBP's RFI in which CBP requested information regarding sales, production, and accounting practices. Without this requested information, CBP lacks information to contradict the record evidence. Specifically, Lifeguard reported that its point of contact at Supplier D was a company official at Malaysian supplier [[entity](#)].⁷⁶ Additionally, record evidence indicates that commercial shipment data shows SMI Paper imported thermal paper from South Korean supplier Hansol Paper Co. Ltd.⁷⁷ As such, CBP is drawing inferences adverse to the interests of Supplier B and finds that all of its converted thermal paper was sourced from [[location](#)] jumbo rolls. The scope of the *Orders* covers thermal paper that is converted into rolls in third countries from jumbo thermal rolls produced in the subject countries.⁷⁸ For the purposes of enforcing the *Orders*, record evidence exists that Supplier D is sourcing South Korean-produced jumbo rolls to convert into smaller rolls, which are then imported into the United States.⁷⁹ Therefore, CBP finds there is substantial evidence that Lifeguard is evading the *South Korea Order* on imports from Supplier D by claiming the COO is Malaysia and failing to pay the duties for the *South Korea Order*.

⁷⁵ CBP issued a physical copy *via* Fedex and followed up with sending the RFI questionnaire by email. See CBP's Letters to Supplier D, "EAPA CONS. CASE 8052 Request for Information," dated February 19, 2025, Memo to the file, "Proof of Delivery – Request for Information," dated March 18, 2025, and CBP's emails titled, "Supplier D RFI Warning," dated March 17, 2025. CBP used the email address for Supplier B as provided by Lifeguard in Lifeguard's RFI Response at 19.

⁷⁶ See Lifeguard's RFI response at 19 and 24.

⁷⁷ See Memo to the File, "SMI Paper Shipment Data for the Administrative Record," dated June 26, 2025, at Attachment 1.

⁷⁸ See the *Orders*.

⁷⁹ See Memo to the File, "SMI Paper Shipment Data for the Administrative Record," dated June 26, 2025, at Attachment 1.

Importer Lollicup⁸⁰

On February 5, 2025, CBP issued a RFI to Lollicup, pursuant to 19 C.F.R. § 165.23(a).⁸¹ Lollicup responded to the RFIs in a timely manner.⁸² CBP also issued a SRFI to Lollicup on May 28, 2025,⁸³ and Lollicup responded in a timely manner.⁸⁴

Supplier Tele-Paper

In its RFI and SRFI responses, Lollicup reported that it sources some of its thermal paper in Malaysia from [[entity](#)].⁸⁵ On February 5, 2025, CBP issued a RFI to Tele-Paper and received a response on April 2, 2025.⁸⁶ On May 28 and June 2, 2025, CBP issued a SRFI to Tele-Paper and received a timely response.⁸⁷ In its RFI and SRFI responses, Tele-Paper reported that it used jumbo rolls from [[location](#)] to produce shipments associated with bill of lading numbers [<#>] and [<#>] and that Lollicup was the importer of record.⁸⁸ Additionally, Tele-Paper reported using jumbo rolls from [[location](#)] to produce shipments associated with bill of lading number [<#>], with Lollicup as importer of record.⁸⁹ Because Tele-Paper reports using [[location](#)]-produced and [[location](#)]-produced jumbo thermal paper rolls in its production, the COO for the purposes of enforcing the *Orders* are [[locations](#)].⁹⁰ Therefore, CBP finds there is substantial evidence that

⁸⁰ CBP notes that Lollicup was previously found to be transshipping thermal paper without paying AD/CVD duties. Lollicup reported using an agent in Taiwan, named [[entity](#)], to procure all shipments during the POI. In its RFI response, Lollicup provided information that its parent corporation Karat Packaging Inc. is affiliated with Keary Global and Keary International. CBP notes that in a previous EAPA investigation, CBP found substantial evidence that Lollicup evaded the *Orders* by transshipping thermal paper *via* Taiwan.⁸⁰ In its determination, CBP found that Lollicup imported thermal paper from [[entity](#)] and listed the COO as Taiwan to evade the *Orders*. See CBP's notice, "EAPA Consolidated Investigation 7796 and EAPA Investigation 7799: Notice of Determinations as to Evasion," dated February 5, 2024, and Lollicup's RFI Response at Attachment 6, page 64 of the 2022 Annual Report and page 61 of the 2023 Annual Report.

⁸¹ See CBP's Letter to Lollicup, "EAPA CONS. CASE 8052 Request for Information," dated February 5, 2025, and CBP's emails titled, "Email transmitting Lollicup RFI," dated February 5, 2025.

⁸² See Lollicup's RFI Response, dated March 5, 2025. See also, CBP's email titled, "Lollicup RFI Partial Extension," dated February 24, 2025.

⁸³ See CBP's Letter to Lollicup, dated May 28, 2025, and CBP's email titled, "Lollicup SRFI Request Email," dated May 28, 2025.

⁸⁴ See CBP's email titled, "Lollicup SRFI First Extension Email," dated June 9, 2025, CBP's email titled, "Lollicup SRFI Second Extension Email," dated June 17, 2025, and Lollicup's SRFI Response, dated June 20, 2025.

⁸⁵ See Lollicup's RFI Response at 22 and Lollicup's SRFI Response at 3-4.

⁸⁶ See CBP's Letter to Tele-Paper, "EAPA CONS. CASE 8052 Request for Information," dated February 5, 2025, and CBP's emails titled, "Email transmitting Tele-Paper RFI," dated February 5, 2025. See also CBP's emails titled, "Telepaper RFI Extension," "Telepaper Bracketing RFI," "Telepaper Bracketing RFI Extension," "Telepaper RFI Bracketing Second Extension," and "Telepaper RFI Bracketing Warning," dated February 11, March 12, 13, and 27, and April 1, 2025.

⁸⁷ See CBP's Letter Tele-Paper, dated May 28, 2025, CBP's email titled, "Tele-Paper SRFI Request Email," dated May 28, 2025, Tele-Paper SRFI Correction Memo, dated June 2, 2025, and CBP's email titled, "Tele-Paper SRFI Extension Email," dated June 12, 2025. See also Tele-Paper's SRFI Response, dated June 23, 2025.

⁸⁸ See Tele-Paper's RFI Response at Exhibits 16 and 17 and Tele-Paper's SRFI Response at Appendix II.

⁸⁹ *Id.*

⁹⁰ *Id.*

Lollicup is evading the [[locations](#)] *AD Orders* by claiming the COO is Malaysia on imports from Tele-Paper and failing to pay the duties for the [[locations](#)] *AD Orders*.

Supplier Wellden

In its RFI and SRFI responses, Lollicup also reported that it sources some of its thermal paper in Malaysia from [[entity](#)].⁹¹ On February 5, 2025, CBP issued a RFI to Wellden, pursuant to 19 C.F.R. § 165.23(a), and did not receive a response.⁹² Because Wellden did not respond to the RFI, CBP's ability to obtain information for its investigation was impeded significantly. Pursuant to 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP. In applying an adverse inference against an eligible party, CBP selects from the facts otherwise available on the record, as outlined in 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, to make a final determination as to evasion pursuant to in 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. § 165.27(a).⁹³

Because Wellden did not reply to the RFI, CBP finds that Wellden did not cooperate or comply with CBP's investigation to the best of its ability. Specifically, Wellden failed to respond to CBP's RFI in which CBP requested information regarding sales, production, and accounting practices. Without this requested information, CBP lacks information to contradict the record evidence that shows that Wellden's website advertises that it sells thermal paper from Japan.⁹⁴ As such, CBP is drawing inferences adverse to the interests of Wellden and finds that all its converted thermal paper was sourced from Japanese-produced jumbo rolls. The scope of the *Orders* covers thermal paper that is converted into rolls in third countries from jumbo thermal rolls produced in the subject countries.⁹⁵ For the purposes of enforcing the *Orders*, record evidence exists that Malaysian supplier Wellden is using Japanese-origin produced jumbo rolls to produce smaller rolls, which are then imported into the United States.⁹⁶ CBP finds that there is substantial evidence that Lollicup is evading the *Japan Order* by claiming the COO is Malaysia for imports from Wellden and failing to pay the duties for the *Japan Order*.

⁹¹ Lollicup also reported having a relationship with "[[entities and description](#)]." See Lollicup's RFI Response at 22 and Lollicup's SRFI Response at 3-4.

⁹² See CBP's Letters to Wellden, "EAPA CONS. CASE 8052 Request for Information," dated February 5, 2025, and CBP's emails titled, "Email transmitting Wellden RFI," "Wellden RFI Warning," "Wellden RFI Second Warning," "Wellden RFI Final Warning" dated February 5, 20, and 25, and March 11, 2025. CBP used the email address for Wellden as provided by Lollicup in Lollicup's RFI Response at 22.

⁹³ See 19 C.F.R. § 165.6(a).

⁹⁴ See Allegations at 13 and Exhibit 25. Note, the website also indicates Wellden purchases jumbo rolls from other countries, but, in accordance with adverse inferences, CBP is choosing from the facts otherwise available including the fact that Wellden purchases jumbo rolls from Japan.

⁹⁵ See the *Orders*.

⁹⁶ See Allegations at 13 and Exhibit 25.

Nonresponsive Importers

Pursuant to 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP. In applying an adverse inference against an eligible party, CBP selects from the facts otherwise available on the record, as outlined in 19 U.S.C. § 1517(c)(3)(A) and 19 C.F.R. § 165.6, to make a final determination as to evasion pursuant to 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. § 165.27(a).⁹⁷

With respect to the current investigation, CBP finds that Importers E-Merchant, Quality Paper, and Top Traders all failed to adequately cooperate with the investigation to the best of their abilities. As detailed below, CBP provided E-Merchant, Quality Paper, and Top Traders with multiple opportunities to respond to their RFIs and demonstrate that their thermal paper importers were produced in Malaysia as declared on the entry documentation, and, as such, that E-Merchant, Quality Paper, and Top Traders had accurately represented their entries of Malaysian-origin thermal paper and were not evading the *Orders*.

*E-Merchant*⁹⁸

On February 5, 2025, CBP issued E-Merchant an RFI questionnaire, pursuant to 19 C.F.R. § 165.23(a).⁹⁹ E-Merchant did not respond by the February 19, 2025, deadline specified in the RFI. On February 20 and 25, and March 10, 2025, CBP made further attempts to deliver the RFIs to E-Merchant *via* email.¹⁰⁰ Specifically, E-Merchant failed to respond to CBP's RFI in which CBP requested information regarding sales, production, and accounting practices. As a result, CBP's ability to obtain information for its investigation was impeded significantly. Without this requested information, CBP lacks information to contradict the record evidence that indicates E-Merchant entered thermal paper covered by the *Japan Order* and failed to declare those imports as subject to AD/CVD. Specifically, although E-Merchant had numerous suppliers in Malaysia, record evidence shows that E-Merchant declared to CBP at time of entry that it imported from Malaysian Supplier Wellden during the POI.¹⁰¹ CBP notes Wellden's website

⁹⁷ See 19 C.F.R. § 165.6(a).

⁹⁸ CBP notes that E-Merchant was previously found to be transshipping thermal paper without paying AD/CVD duties. See CBP's notice, "EAPA Consolidated Case No. 7745 – Notice of Determination as to Evasion," dated August 21, 2023.

⁹⁹ See CBP's Letter to Lifeguard, "EAPA CONS. CASE 8052 Request for Information," dated February 5, 2025, and CBP's email titled, "Email transmitting Lifeguard RFI," dated February 5, 2025.

¹⁰⁰ CBP sent E-Merchant's RFI request to the email address listed in E-Merchant's CF-28 response. See CBP's emails titled, "E Merchant RFI Warning," "E Merchant RFI Second Warning Email," and "E Merchant RFI Request Extension," dated February 20, 25, and March 10, 2025, respectively. See also E-Merchant's CF-28 Response, dated December 2, 2024.

¹⁰¹ See Trade Data Memo at Attachment 1. See also Quality Paper's CF-28 Response, dated November 25, 2024.

indicates that it sells thermal paper of Japanese origin.¹⁰² Therefore, CBP will apply inferences adverse to the interests of E-Merchant and find that all of the thermal paper it entered during the POI was of Japanese origin, and thus, covered by the *Japan Order*. Accordingly, CBP will use the *Japan Order* rates to assess duties on the entries.

Quality Paper¹⁰³

On February 5, 2025, CBP issued Quality Paper RFI questionnaire, pursuant to 19 C.F.R. § 165.23(a).¹⁰⁴ Quality Paper did not respond by the February 19, 2025, deadline specified in the RFI. On February 20 and 25, 2025, CBP made further attempts to deliver the RFI to Quality Paper.¹⁰⁵ Specifically, Quality Paper failed to respond to CBP's RFI in which CBP requested information regarding sales, production, and accounting practices. As a result, CBP's ability to obtain information for its investigation was impeded significantly. Without this requested information, CBP lacks information to contradict the record evidence that indicates Quality Paper entered thermal paper under the *South Korea Order* and failed to declare them as subject to AD/CVD. Specifically, record evidence shows that Quality Paper declared to CBP at the time of entry that it imported from Tele-Paper¹⁰⁶ and that Tele-Paper reported in its RFI response that it imported jumbo rolls from South Korea to convert to small thermal paper.¹⁰⁷ Therefore, CBP will apply inferences adverse to the interests of Quality Paper and find that all of the thermal paper it entered during the POI were of South Korean origin, and thus, covered by the *South Korea Order*. Accordingly, CBP will use the *South Korea Order's* rates to assess duties on the entries.

Top Traders

On February 5, 2025, CBP issued Top Traders RFI questionnaire, pursuant to 19 C.F.R. § 165.23(a).¹⁰⁸ Top Traders did not respond by the February 19, 2025, deadline specified in the RFIs. On February 20 and 25, and March 11, 2025, CBP made further attempts to deliver the RFI to Top Traders.¹⁰⁹ Specifically, Top Traders failed to respond to CBP's RFI in which CBP

¹⁰² See Allegations at 13 and Exhibit 25.

¹⁰³ CBP notes that Quality Paper was previously found to be transshipping thermal paper without paying AD/CVD duties. See CBP's notice, "EAPA Consolidated Case No. 7745 – Notice of Determination as to Evasion," dated August 21, 2023.

¹⁰⁴ See CBP's Letter to Quality Paper, "EAPA CONS. CASE 8052 Request for Information," dated February 5, 2025, and CBP's email titled, "Email transmitting Quality Paper RFI," dated February 5, 2025.

¹⁰⁵ CBP sent the RFI to the email address listed in Quality Paper's CF-28 response. See CBP's emails titled, "Quality Paper RFI Warning," and "Quality Paper RFI Second Warning," dated February 20 and 25, 2025, respectively.

¹⁰⁶ See Trade Data Memo at Attachment 1. See also, Quality Paper's CF-28 Response, dated November 25, 2024.

¹⁰⁷ See Tele-Paper's RFI Response.

¹⁰⁸ See CBP's Letter to Top Traders, "EAPA CONS. CASE 8052 Request for Information," dated February 5, 2025, and CBP's email titled, "Email transmitting Top Traders RFI," dated February 5, 2025.

¹⁰⁹ CBP sent the RFI to the email address listed in Top Traders' CF-28 response as well as Top Traders' counsel. See CBP's emails titled, "Top Traders RFI Warning," "Top Traders RFI Second Warning," and "Top Traders RFI

requested information regarding sales, production, and accounting practices. As a result, CBP's ability to obtain information for its investigation was impeded significantly. Without this requested information, CBP lacks information to contradict the record evidence that indicates Top Traders entered thermal paper under the *China AD/CVD Orders* and failed to declare the thermal paper as subject to AD/CVD. Specifically, CBP will rely on record information that indicates that non-responsive manufacturer Besto supplied the majority of Top Traders' thermal paper from Malaysia.¹¹⁰ The Alleger NFI Submission has evidence showing that Besto imported 507 MT of jumbo rolls from China and South Korea between May 29 and September 11, 2024,¹¹¹ just before the start of the POI. CBP finds that the Alleger NFI Submission to be more compelling because it shows the vast majority of the 507 MT of jumbo rolls were sourced from China, 95% vs. 5% for South Korea.¹¹² Therefore, CBP will apply inferences adverse to the interests of Top Traders and find that all of the thermal paper they entered during the POI were of Chinese origin, and thus, covered by the *China AD/CVD Orders*. Accordingly, CBP will use the *China AD/CVD Orders* rates to assess duties on the entries.

Therefore, CBP will apply inferences adverse to the interests of Top Traders and find that all of the thermal paper they entered during the POI were of Chinese origin, and thus, covered by the *China AD/CVD Orders*. Accordingly, CBP will use the *Japan Order* rates to assess duties on the entries.

Written Arguments

On July 21, 2025, the Alleger submitted Written Arguments,¹¹³ and importers Lollicup and Top Traders submitted rebuttal written arguments on August 5, 2025.¹¹⁴ CBP notes that the parties agree that record evidence indicates that Malaysian suppliers are not producing thermal paper but rather converting jumbo rolls of thermal paper into smaller rolls. A summary of their arguments follows:

Lollicup

Alleger

The Alleger argues that CBP should base its final determination on total adverse inferences due to Lollicup's misleading and inconsistent statements.¹¹⁵ The Alleger argues that Lollicup is a

Final Warning," dated February 20, 25, and March 11, 2025, respectively. *See also* Top Traders' CF-28 response, dated March 4, 2025.

¹¹⁰ *See* Trade Data Memo.

¹¹¹ *See* Alleger NFI Submission at 6 and Attachment B.

¹¹² *Id.*

¹¹³ *See* Alleger's Written Arguments.

¹¹⁴ *See* Lollicup's Rebuttal Arguments and Top Traders' Rebuttal Arguments.

¹¹⁵ *See* Alleger's Written Arguments at 4-10.

repeat offender, and that Lollicup reported not maintaining “formal written AD/CVD polices.”¹¹⁶ The Alleger asserts that Lollicup’s suppliers – [[entity](#)], Tele-Paper and Wellden – “failed to cooperate and comply to the best of their abilities with respect to CBP’s questions.”¹¹⁷ The Alleger argued that CBP should use adverse inferences to determine that “all of Lollicup’s imports during the period of investigation and should make the most adverse assumption available to CBP, by applying the AD/CVD rates for China.”¹¹⁸

The Alleger also asserted that “Information in Lollicup’s SRFI indicates that [[description of source](#)].”¹¹⁹ The Alleger also argued that “It is important for CBP to consider that Tele-Paper was acquired by Oji Asia Management SDN Bhd in 2021 and that Oji Management is a subsidiary of Oji Holdings Corporation Japan.”¹²⁰ The Alleger further argued that Malaysian Customs data indicated that Tele-Paper is importing from China; therefore, CBP should use the China rate.

Importer

Importer Lollicup argued that the record does not support the application of adverse inferences on Lollicup. In its rebuttal written arguments, Lollicup asserted that it invested a considerable amount of time and expense to answer both the initiation and supplemental RFI questionnaires.¹²¹ Lollicup also argued that Lollicup’s suppliers’ responses do not warrant the application of total adverse inferences. Lollicup stated that “it is common practice in the thermal paper converting industry to source raw material jumbo thermal paper rolls from multiple countries.”¹²² Lollicup asserted that “the country of origin from supplier to supplier, or from shipment to shipment is unlikely to be the same every time.”¹²³ Lollicup further argued that CBP should not treat all of Lollicup’s shipments of thermal paper from Malaysia as having a COO as China or Japan because record evidence indicated that the COO for these shipments were “diverse, including [[locations](#)].”¹²⁴

Lollicup made the following arguments about specific Malaysian suppliers:

- Lollicup admitted that one of its suppliers, “[[entity and business relationships](#)], did not respond to CBP’s initial request for information.”¹²⁵ Lollicup argued that CBP should not assume that covered merchandise from

¹¹⁶ See Alleger’s Written Arguments at 6.

¹¹⁷ *Id.* at 10.

¹¹⁸ *Id.*

¹¹⁹ *Id.* at 8.

¹²⁰ *Id.* at 9, citing Tele-Paper RFI at 3.

¹²¹ See Lollicup’s Rebuttal Arguments at 3-5.

¹²² *Id.* at 7-8.

¹²³ *Id.*

¹²⁴ *Id.*

¹²⁵ *Id.* at 9.

“[entities] was of Chinese origin.”¹²⁶ Instead, Lollicup argued that CBP should rely on its *NOI and Interim Measures Determination* and should make a final determination that [entity] was using jumbo thermal paper rolls produced by [entity].¹²⁷

- Lollicup argued that “substantial evidence on the record indicates that the merchandise imported by Lollicup from Tele-Paper were made using raw material jumbo rolls from Thailand, Germany, and Korea, rather than China or Japan.”¹²⁸ Lollicup contended that the Alleger’s argument that “Tele-Paper and [entity] are owned by Japanese companies does not mean that the country or countries of origin for the jumbo thermal paper rolls used by Tele-Paper includes Japan.”¹²⁹ Lollicup contended that “Alleger’s own factual submission shows that Tele-Paper imported significantly more jumbo thermal paper rolls from Korea, Thailand, and Germany than China.”¹³⁰

CBP’s Position

As explained in the Analysis section, Lollicup answered both RFI questionnaires issued by CBP.¹³¹ CBP has found that Lollicup has complied to the best of its ability in this current investigation; therefore, CBP will not treat all its shipments as coming from only one COO. CBP examined Lollicup’s RFI and SRFI Responses in conjunction with its suppliers’ RFI responses to make a COO determination based on substantial evidence. Where Lollicup’s supplier did not provide a RFI response (*i.e.*, Wellden), CBP relied on the information available on the record and also applied adverse inferences to make a determination that those imports are covered by the *Japan Order*. For Tele-paper entries, as discussed above, CBP will apply the *Germany and Korea Orders* to Lollicup’s imports, as appropriate, based on shipment and COO documentation. Thus, CBP has determined that Lollicup evaded the *Germany, Japan, and Korea Orders*.

CBP disagrees with Lollicup’s assertion that “the only documentation on the record for [entities] indicates that the country of origin for Lollicup’s shipments was [location].”¹³² CBP acknowledges that in the *NOI and Interim Measures Determination*, it found evidence that Wellden/Synergy used thermal paper from Germany based on Lollicup’s Customs Form 28 (CF-28) response.¹³³ For using an adverse inference and selecting among the

¹²⁶ *Id.*

¹²⁷ *Id.*

¹²⁸ See Lollicup’s Rebuttal Written Arguments at 13, citing Tele-Paper’s RFI Response at Part 3.

¹²⁹ *Id.* at 12.

¹³⁰ See Lollicup’s Rebuttal Written Arguments at 13.

¹³¹ See Lollicup’s RFI Response and Lollicup’s SRFI Response.

¹³² CBP disagrees with the Alleger that the *China Order* is the most appropriate order to apply to Wellden’s shipments of thermal paper to Lollicup. CBP finds that the evidence that Wellden sells Japanese thermal paper is appropriate to use in the adverse inference determination. See Lollicup’s Rebuttal Written Arguments at 10 and Alleger’s Written Arguments.

¹³³ See *NOI and Interim Measures Determination*.

facts otherwise available on the record, in accordance with 19 U.S.C. § 1517 (c) and 19 C.F.R. § 165.6 and 165.27, CBP does not believe the CF-28 response should outweigh the lack of RFI response. While the CF-28 response is informative, it is a smaller questionnaire based on a limited number of entries and it is only submitted by the importer. For example, CF-28 documents request information on payments, COO documentation, and invoices; whereas RFIs inquire about similar information which cover the entire POI, plus information about banking statements and accounting statements. This allows CBP to trace the sales and COO documentation into the companies' banking statements and accounting statements.

The idea that the use of an adverse inference prevents interested parties from controlling the outcome of a proceeding by selectively providing information has long been upheld by both the Court of International Trade (CIT) and the Court of Appeals for the Federal Circuit (CAFC). The CIT has found in numerous Commerce and International Trade Commission (ITC) AD/CVD proceedings that if responses provided to a request for information are only partially complete, or the answers provided to questions do not fully or accurately supply the information requested, adverse inferences may be used.¹³⁴ In *Atlantic Sugar*, the CAFC recognized that an adverse inference (called “best available information” at that time) provided the agency in that case, the ITC, some leverage against recalcitrant or noncooperative parties to cooperate.¹³⁵ The CIT has also found that without the use of adverse inferences respondent companies would be able to control an agency's proceeding by selectively providing information.¹³⁶ In *Olympic Adhesives*, the CAFC found that agencies cannot be left merely to the largesse of participating parties at their discretion to supply the agency with information, particularly when the agency is attempting to obtain information to conduct statutorily mandated proceeding.¹³⁷ While these court cases involve Commerce's and the ITC's AD/CVD proceedings, the EAPA statute and regulations contain similar adverse inference language which also applies to the imposition of AD/CVD duties.

¹³⁴ See, e.g., *Chinsung Indus. Co. v. United States*, 705 F. Supp. 598, 600-01 (CIT 1989) (*Chinsung*); *Ceramica Regiomontana, S.A. v. United States*, 636 F. Supp. 961, 966-67 (CIT 1986) (*Ceramica Regiomontana*) (adverse inferences is justified where requested information as supplied was inaccurate in significant and material respects); *Ansaldo Componenti, S.p.A. v. United States*, 628 F. Supp. 198, 205 (CIT 1986) (*Ansaldo Componenti*) (resorting to adverse inferences is justified where submissions to requests for information are consistently partially complete); and *Tai Yang Metal Indus. Co. v. United States*, 712 F. Supp. 973, 977 (CIT 1989) (*Tai Yang*) (resorting to adverse inferences is justified where a party served with questionnaire does not submit any answer).

¹³⁵ See *Atlantic Sugar, Ltd., et al. v. United States and Amstar Corporation*, 744 F.2d 1556, 1560 (CAFC 1984) (*Atlantic Sugar*).

¹³⁶ See, e.g., *Chinsung*, 705 F. Supp. at 601; and *Pistachio Group of the Ass'n of Food Indus. v. United States*, 671 F. Supp. 31, 40 (CIT 1987) (*Pistachio Group*).

¹³⁷ See *Olympic Adhesives, Inc. v. United States*, 899 F.2d 1565 (Fed. Cir. 1990) (*Olympic Adhesives*). See also, e.g., *Asociacion Colombiana de Exportadores de Flores v. United States*, 40 F. Supp. 2d 466, 475 (CIT 1999) (a “major purpose” of adverse inferences is to permit the Department of Commerce to control its own proceedings and not the respondent companies); and *Allied-Signal Aerospace Co. v. United States*, 996 F.2d 1185, 1191 (Fed. Cir. 1993) (*Allied-Signal*) (adverse inferences are designed to prevent the Department of Commerce, which lacks subpoena power, from being “left merely to the largesse of the parties at their discretion to supply {Commerce} with information”).

Because Wellden did not answer its RFI, CBP did not have an opportunity to confirm the veracity of the documentation submitted by Lollicup in its CF-28 response or perform a shipment-by-shipment trace of COO documentation. Therefore, CBP is not relying on Lollicup's CF-28 response in selecting among the facts otherwise available on the record. CBP is instead relying on other evidence on the record, namely Wellden's advertisement for Japanese thermal paper *via* its website.¹³⁸

Top Traders

Alleger

The Alleger argued that importer Top Traders did not comply with CBP's request to the best of their ability by not answering its RFI request.¹³⁹ The Alleger argued that CBP should not reward Top Trader for its non-responsiveness by assigning a lower rate, such as the rates from the *Korea and German AD Orders*.¹⁴⁰ Stating further that the "only way that CBP can compel responsiveness in EAPA investigations is to assign a rate that is adverse to the party that fails to respond."¹⁴¹ The Alleger contended that CBP should use the Malaysian Customs data for the POI showing that Top Trader's supplier Besto imported thermal paper from China.¹⁴² The Alleger argued that China represented the vast majority of the COO of Besto's Malaysian imports, in comparison to South Korea.¹⁴³

Importer

Importer Top Traders argued that "CBP should not apply total adverse inferences to Top Traders in this investigation, and should instead find that its shipment was of German origin."¹⁴⁴ Top Traders contended that record evidence does not support that Top Traders evaded the *China AD/CVD Orders*.¹⁴⁵ Top Traders asserted that when making an adverse inference determination, CBP should draw from the allegation, a prior determination, or any other available information, citing 19 U.S.C. § 1517(d).¹⁴⁶ Top Traders noted that it was not the subject of any previous EAPA determinations.¹⁴⁷ Top Traders argued that "should {CBP} choose to apply an adverse

¹³⁸ CBP notes that Lollicup did not provide any arguments against Japanese COO for Wellden despite it being in the Allegations. *See* Lollicup's Rebuttal Written Arguments.

¹³⁹ *See* Alleger Written Arguments at 16-18.

¹⁴⁰ *Id.* at 17.

¹⁴¹ *Id.*

¹⁴² *Id.* at 18, citing Alleger New Factual Information at Attachment B.

¹⁴³ *Id.*

¹⁴⁴ *See* Top Trader's Rebuttal Written Arguments at 1.

¹⁴⁵ *Id.* at 2.

¹⁴⁶ *Id.*

¹⁴⁷ *Id.* at 2.

inference to Top Traders, that adverse inference should be the application of the *German Order* to each of Top Traders' shipments sources from Besto during the period of investigation.”¹⁴⁸

CBP's Position

Top Traders did not submit a response to the RFI questionnaire, and Top Traders did not provide a reason as to why it did not answer the RFI questionnaire in its Rebuttal Written Arguments. Therefore, the application of an inference adverse to Top Trade is appropriate. CBP also notes that under section 19 U.S.C. § 1484, importers of record, either themselves or by an agent authorized by the party in writing, are required to provide CBP with information to properly assess duties on the merchandise brought into the United States.

CBP found in the *NOI and Interim Measures Determination* that there was evidence that Malaysian Suppliers used thermal paper from Germany based on Top Traders' CF-28 response.¹⁴⁹ However, CBP may use an adverse inference and select among the facts otherwise available on the record, in accordance with 19 U.S.C. § 1517 (c) and 19 C.F.R. § 165.6 and 165.27. CBP notes that CF-28s are smaller questionnaires covering an entry, or a few entries, and are submitted solely by an importer, whereas RFI questionnaires are more detailed and responses are submitted by both the supplier and the importer and cover the entire POI. RFIs allow CBP to properly trace documentation within the importers' and suppliers' banking and financial statements to help ensure that false documentation is not being submitted.

The idea that the use of an adverse inference prevents interested parties from controlling the outcome of a proceeding by selectively providing information has long been upheld by both the CIT and the CAFC. The CIT has found in numerous Commerce and ITC AD/CVD proceedings that if responses provided to a request for information are only partially complete, or the answers provided to questions do not fully or accurately supply the information requested, adverse inferences may be used.¹⁵⁰ In *Atlantic Sugar*, the CAFC recognized that an adverse inference (called “best available information” at that time) provided the agency in that case, the ITC, some leverage against recalcitrant or noncooperative parties to cooperate.¹⁵¹ The CIT has also found that without the use of adverse inferences respondent companies would be able to control an agency's proceeding by selectively providing information.¹⁵² In *Olympic Adhesives*, the CAFC

¹⁴⁸ *Id.* at 4.

¹⁴⁹ See *NOI and Interim Measures Determination*.

¹⁵⁰ See, e.g., *Chinsung*, 705 F. Supp. 598, 600-01 (CIT 1989); *Ceramica*, 636 F. Supp. 961, 966-67 (CIT 1986) (adverse inferences is justified where requested information as supplied was inaccurate in significant and material respects); *Ansaldo*, 628 F. Supp. 198, 205 (CIT 1986) (resorting to adverse inferences is justified where submissions to requests for information are consistently partially complete); and *Tai Yang*, 712 F. Supp. 973, 977 (CIT 1989) (resorting to adverse inferences is justified where a party served with questionnaire does not submit any answer).

¹⁵¹ See *Atlantic Sugar*, 744 F.2d 1556, 1560 (CAFC 1984).

¹⁵² See, e.g., *Chinsung*, 705 F. Supp. at 601; and *Pistachio Group*, 671 F. Supp. 31, 40 (CIT 1987).

found that agencies cannot be left merely to the largesse of participating parties at their discretion to supply the agency with information, particularly when the agency is attempting to obtain information to conduct statutorily mandated proceeding.¹⁵³ While these court cases involve Commerce’s and the ITC’s AD/CVD proceedings, the EAPA statute and regulations contain similar adverse inference language which also applies to the imposition of AD/CVD duties.

Because Top Traders did not submit a response to the RFI, CBP cannot ensure that the information submitted in Top Traders’ CF-28 or entry documentation is accurate. CBP will rely on record information that indicates that non-responsive manufacturer Besto supplied the majority of Top Traders’ thermal paper from Malaysia.¹⁵⁴ The Alleger NFI Submission provides evidence showing that Besto imported 507 MT of jumbo rolls from China and South Korea between May 29 and September 11, 2024,¹⁵⁵ just before the start of the POI. The vast majority of the 507 MT of jumbo rolls were sourced from China, 95% vs. 5% for South Korea.¹⁵⁶ Therefore, CBP will apply inferences adverse to the interests of all Top Traders and find that all of the thermal paper they entered during the POI were of Chinese origin, and thus, covered by the *China AD/CVD Orders*. Accordingly, CBP will use the *China AD/CVD Orders* rates to assess duties on the entries.

Other Importers

Alleger

The Alleger contends that CBP should apply adverse inferences to Lifeguard’s imports of thermal paper because Lifeguard’s Malaysian suppliers Besto and Supplier B [[entity](#)] did not answer their RFI requests.¹⁵⁷ The Alleger argues that CBP should use adverse inferences to find that Lifeguard’s imports are COO China because its supplier Besto purchased thermal paper from China.¹⁵⁸ The Alleger argues that “{a}lternatively, CBP should apply the antidumping rate listed in the [[description and entity](#)]” because [[entity, business relationship, and business activity](#)].¹⁵⁹

¹⁵³ See *Olympic Adhesives*, 899 F.2d 1565 (Fed. Cir. 1990); *Asociacion Colombiana de Exportadores de Flores v. United States*, 40 F. Supp. 2d 466, 475 (CIT 1999) (a “major purpose” of adverse inferences is to permit the Department of Commerce to control its own proceedings and not the respondent companies); and *Allied-Signal*, 996 F.2d 1185, 1191 (Fed. Cir. 1993) (adverse inferences are designed to prevent the Department of Commerce, which lacks subpoena power, from being “left merely to the largesse of the parties at their discretion to supply {Commerce} with information”).

¹⁵⁴ See Trade Data Memo.

¹⁵⁵ See Alleger NFI Submission at 6 and Attachment B.

¹⁵⁶ *Id.*

¹⁵⁷ *Id.* at 14-16.

¹⁵⁸ *Id.* at 15.

¹⁵⁹ *Id.* at 15-16.

The Alleger argues that Direct Marketing and FAV Holdings' responses demonstrate that both importers have entered covered merchandise into the United States through evasion. The Alleger asserts that AD/CVD duties for Chinese thermal paper should be applied to Direct Marketing and FAV Holdings' imports during the period of investigation.¹⁶⁰

The Alleger asserts that CBP should use adverse inferences on importers E-Merchant, Top Traders, and Quality Paper because all three importers did not respond to their RFI questionnaires.

CBP's Position:

With respect to Lifeguard, CBP finds that Lifeguard complied with CBP's request to the best of its ability. CBP agrees that Lifeguard's suppliers did not comply to the best of their abilities and has used adverse inference on suppliers Besto and Supplier B. CBP has also found that that adverse inferences are warranted for non-responsive importers E-Merchant and Quality Paper and that there is substantial evidence exists indicating that importers Direct Marketing and FAV Holdings have evaded the *Chinese AD/CVD Orders*.

Actions Taken Pursuant to the Affirmative Determinations of Evasion

In light of CBP's determinations that the Importers entered merchandise into the customs territory of the United States through evasion, and pursuant to 19 U.S.C. § 1517(d) and 19 C.F.R. § 165.28, CBP will suspend or continue to suspend the liquidation for all entries imported by the Importers, that are subject to EAPA consolidated investigation 8052, and continue suspension until instructed to liquidate these entries. For those entries previously extended in accordance with the interim measures, CBP will rate adjust and change those entries to type 03 and continue suspension until instructed to liquidate these entries. CBP will also evaluate the Importers' continuous bonds in accordance with CBP's policies and may require single transaction bonds as appropriate. None of the above actions preclude CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,



for Victoria Cho
Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
Office of Trade

¹⁶⁰ *Id.* at 10-14.